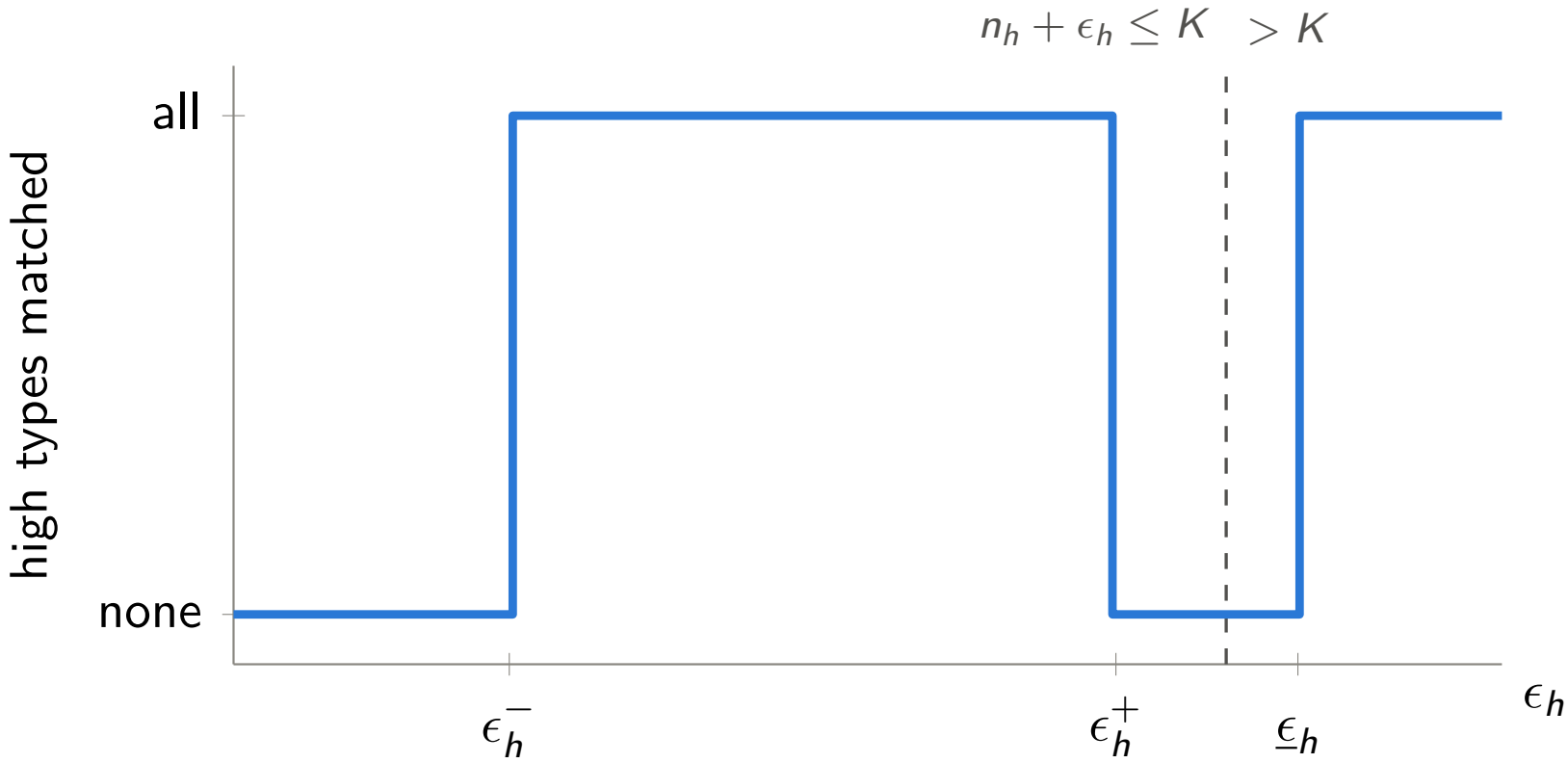
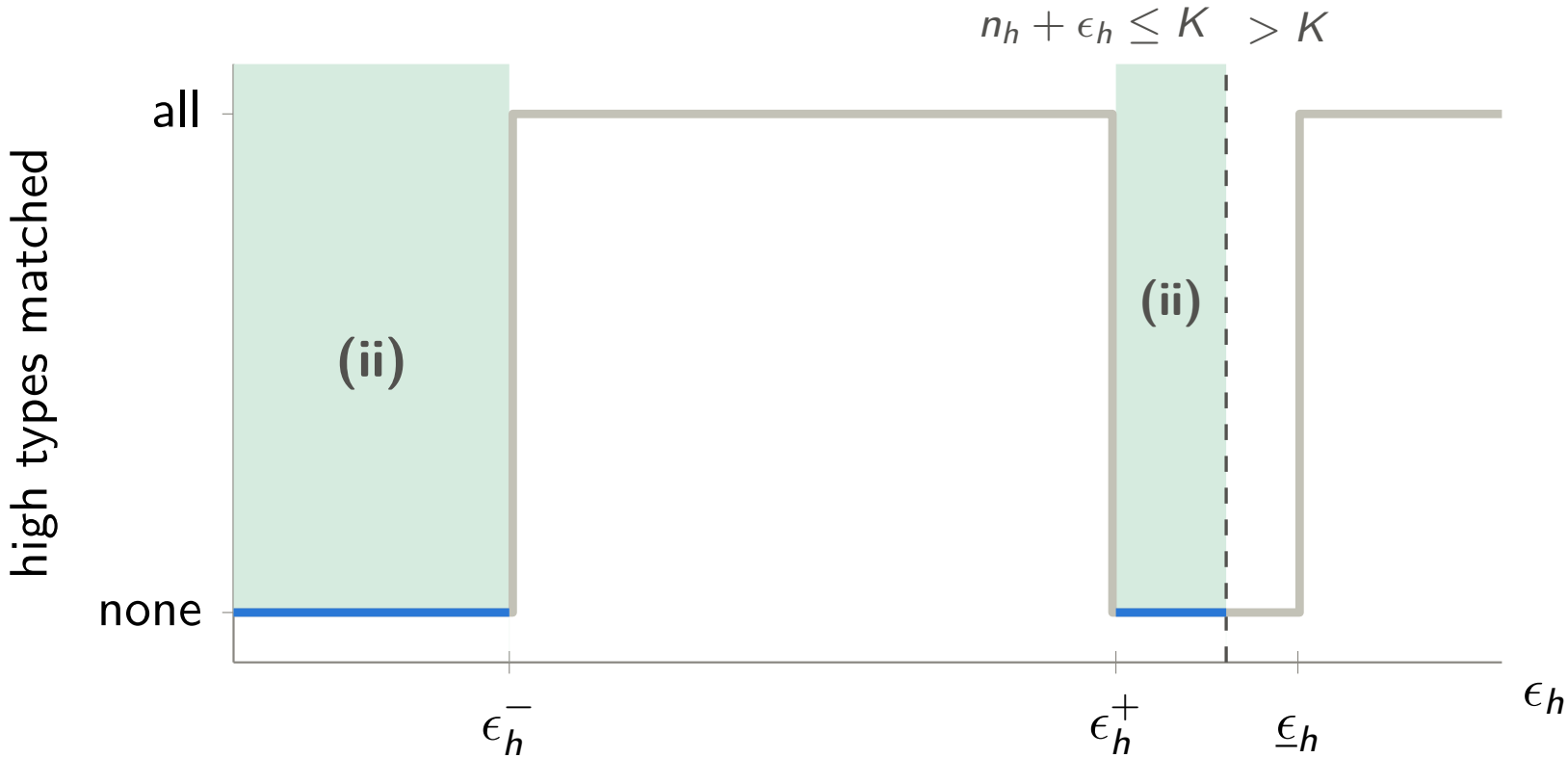
When does the platform match the high types?



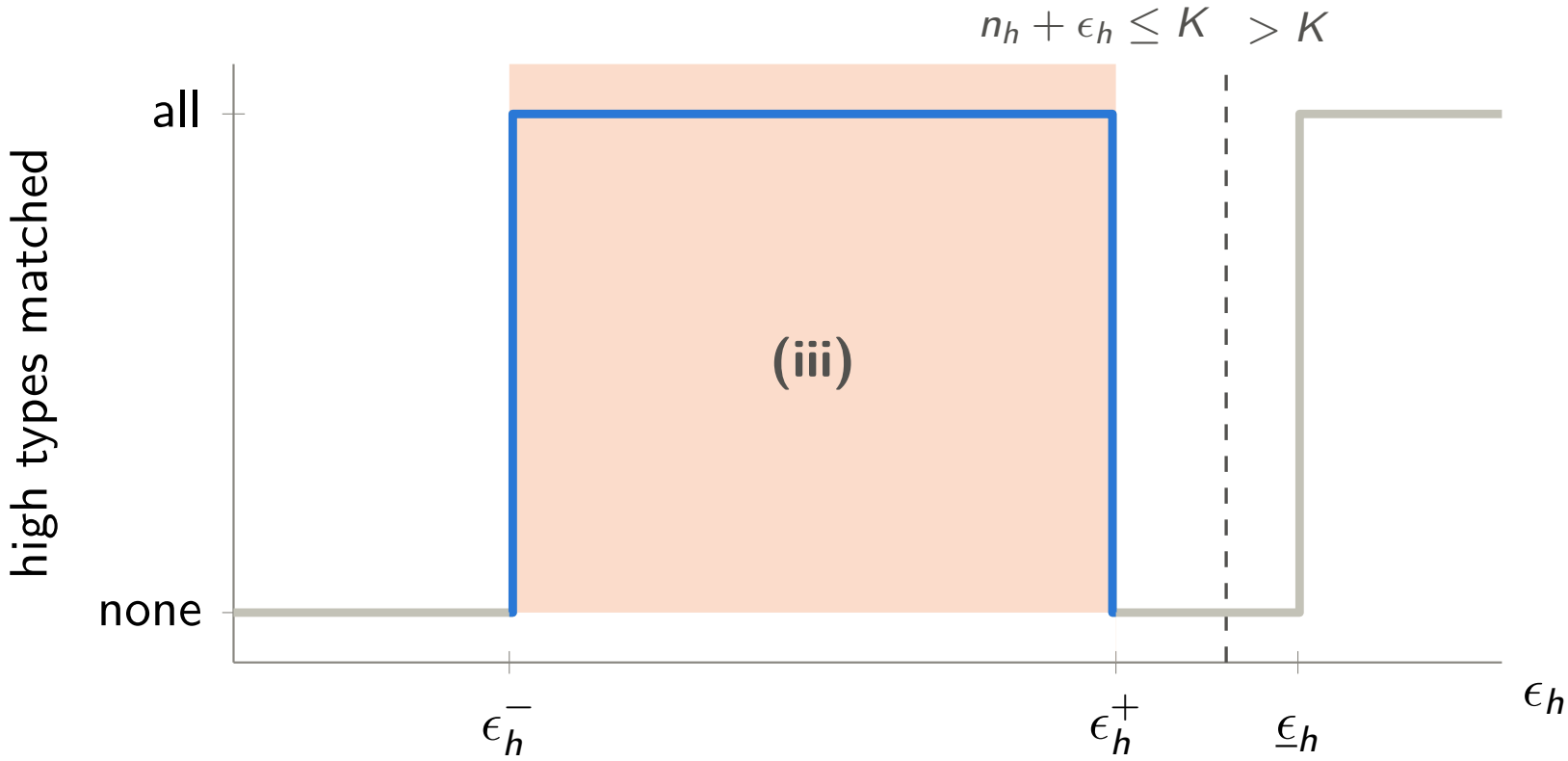
Star costs, instance #1: share of high types matched as ϵ_h grows.

When does the platform match the high types?



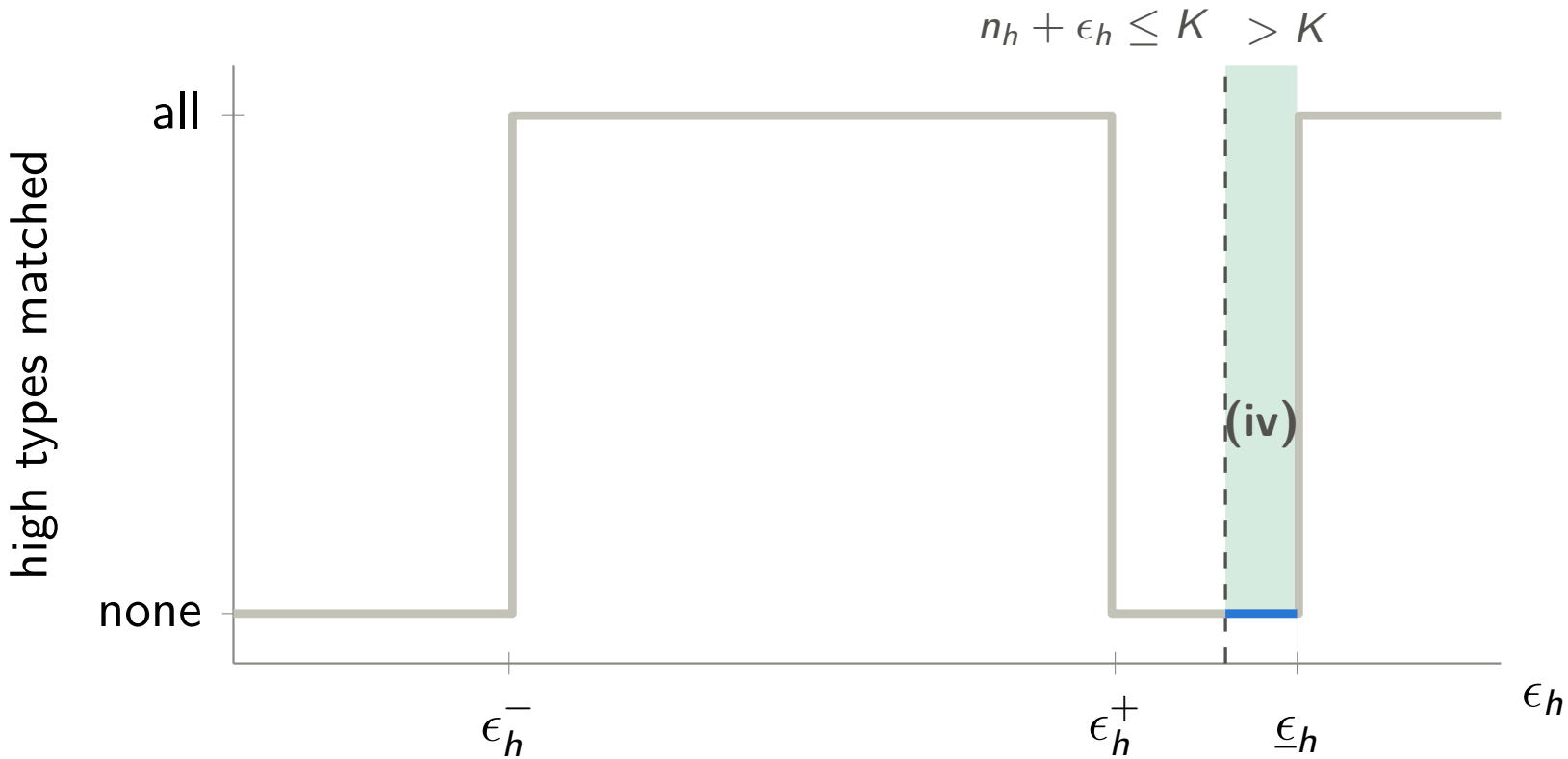
(ii) $n_h + \epsilon_h \leq K$, $\epsilon_h \notin (\epsilon_h^-, \epsilon_h^+)$: optimal matchings are $\mathcal{T}^{\text{eff}}$, $\Pi^\star = A - B_\ell$.

When does the platform match the high types?



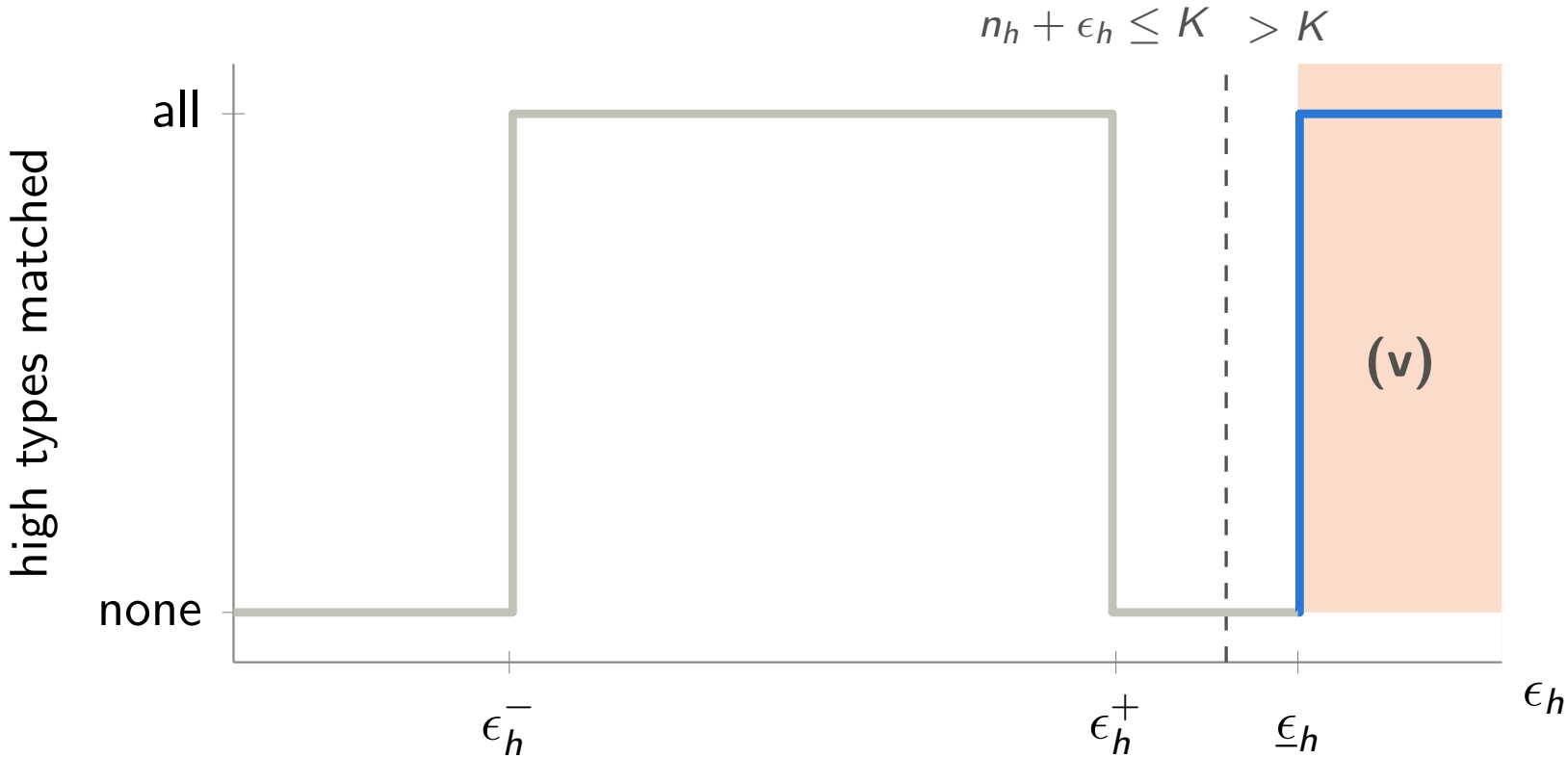
(iii) $n_h + \epsilon_h \leq K$, $\epsilon_h \in (\epsilon_h^-, \epsilon_h^+)$: $T_h \subseteq T^\star \notin \mathcal{T}^{\text{eff}}$, $\Pi^\star = A - B_h$.

When does the platform match the high types?



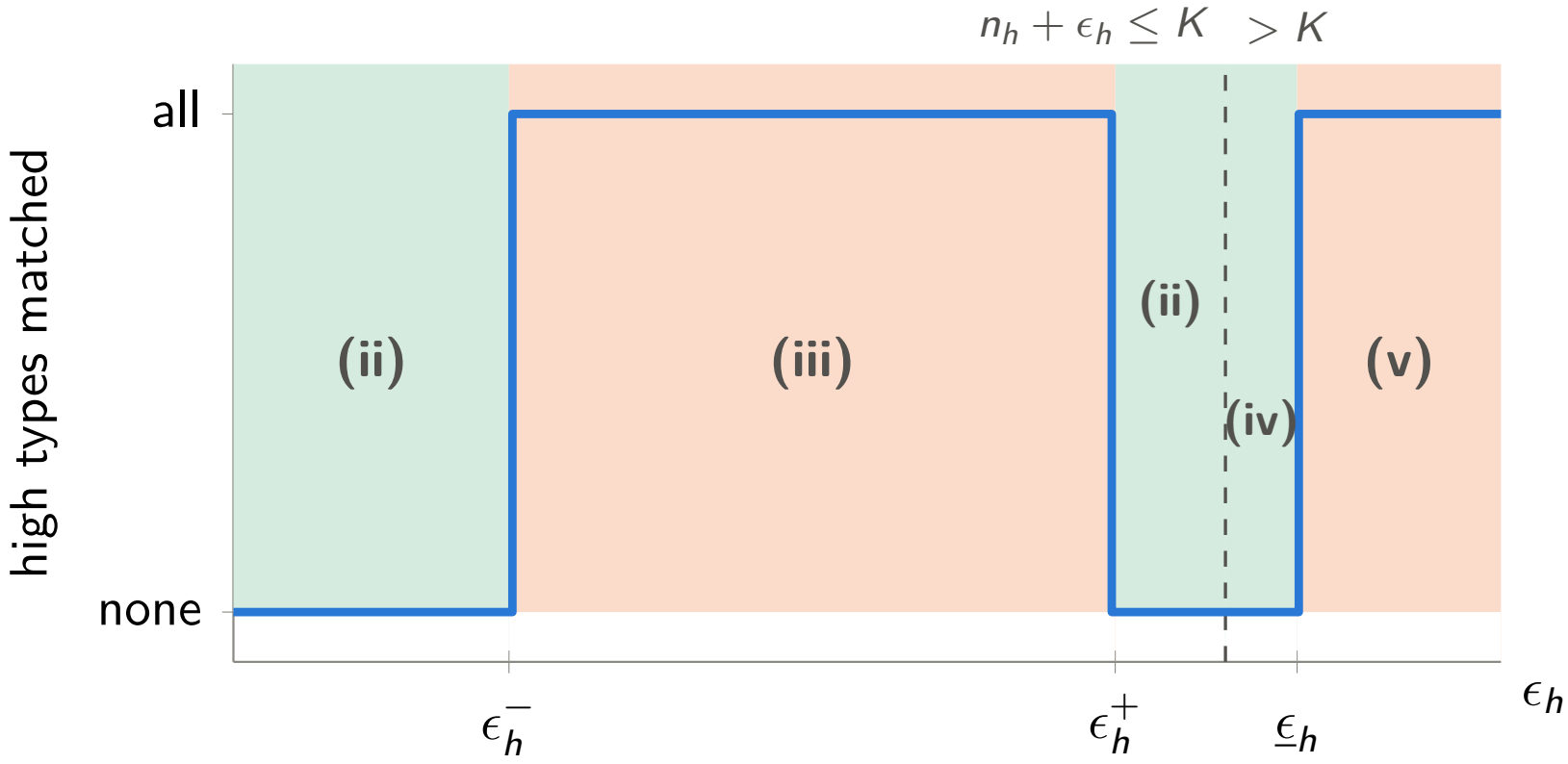
(iv) $n_h + \epsilon_h > K$, $\epsilon_h \leq \underline{\epsilon}_h$: optimal matchings are $\mathcal{T}^{\text{eff}}$, $\Pi^\star = A - B_\ell$.

When does the platform match the high types?



(v) $n_h + \epsilon_h > K$, $\epsilon_h > \underline{\epsilon}_h$: $T_h \subseteq T^\star \notin \mathcal{T}^{\text{eff}}$, $\Pi^\star = A - B_h$.

When does the platform match the high types?



efficient: $\Pi^\star = A - B_\ell$

inefficient: $\Pi^\star = A - B_h$